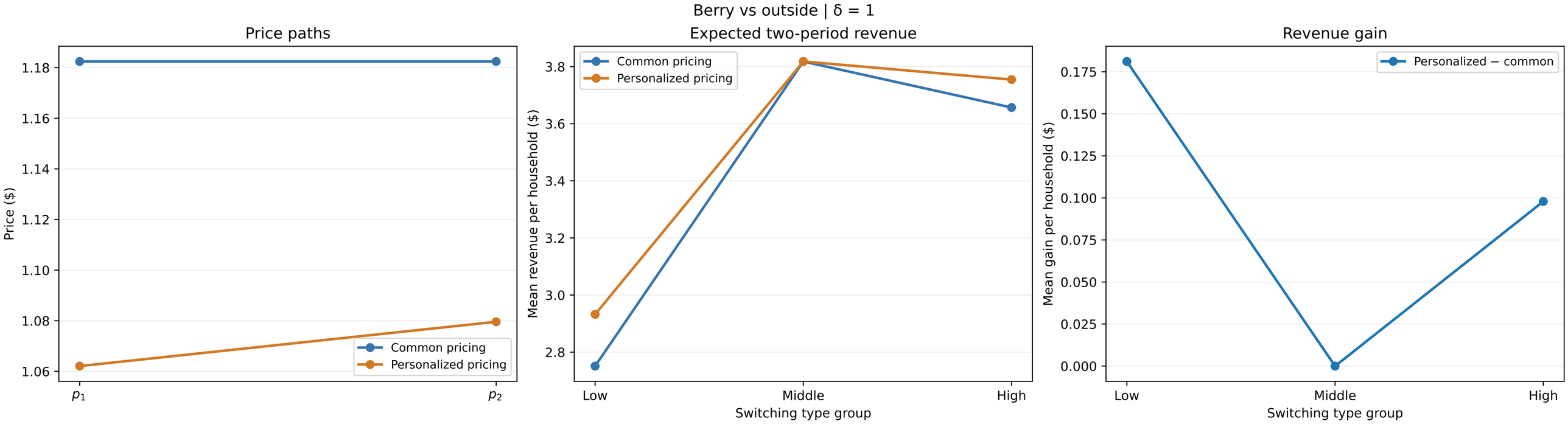
Berry vs outside | δ = 1
Price paths
Price ($)
1.18
1.16
1.14
1.12
1.10
1.08
1.06
p_1
p_2
Common pricing
Personalized pricing
Expected two-period revenue
Mean revenue per household ($)
3.8
3.6
3.4
3.2
3.0
2.8
Low
Middle
High
Switching type group
Common pricing
Personalized pricing
Revenue gain
Mean gain per household ($)
0.175
0.150
0.125
0.100
0.075
0.050
0.025
0.000
Low
Middle
High
Switching type group
Personalized − common